



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2481: school districts; records; noncompliance; penalties

GRESS FLOOR AMENDMENT

1. Removes the \$1,000 monthly civil penalty imposed against a school district superintendent if the school district fails to correct a Uniform System of Financial Records (USFR) deficiency within 18 months.
2. Requires SBE, if a school district fails to correct a deficiency within 18 months after receiving notice from the Auditor General (OAG), to notify the school district governing board (governing board) that the superintendent is ineligible to receive performance-based pay beginning the first day of the 18th month after the school district receives notice from the OAG and until the OAG reports the school district's compliance with the USFR.
3. Prohibits a governing board from calling a district additional assistance override or bond election if the school district fails to correct a USFR deficiency within 18 months, rather than 90 days.

GRESS FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2481
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-272, Arizona Revised Statutes, is amended to
3 read:

4 15-272. Duties; department of education; state board of
5 education; sanctions for noncompliance with uniform
6 system of financial records

7 A. The department of education shall advise and consult with the
8 auditor general in ~~the preparation~~ PREPARING and ~~implementation of~~
9 IMPLEMENTING a uniform system of financial records.

10 B. The state board of education, on report from the auditor
11 general, shall determine whether school districts are maintaining the
12 uniform system of financial records. If the state board of education
13 determines that a school district is not in compliance with the uniform
14 system of financial records or has failed to correct a deficiency ~~within~~
15 ~~ninety days after receiving notice from the auditor general~~ FOR ONE OF THE
16 FOLLOWING PERIODS OF TIME, the state board of education shall:

17 1. IF THE SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
18 NINETY DAYS AFTER RECEIVING NOTICE FROM THE AUDITOR GENERAL, DO BOTH OF
19 THE FOLLOWING:

20 (a) Direct the superintendent of public instruction to withhold up
21 to ten ~~per cent~~ PERCENT of the portion of state monies to the school
22 district for each violation from the date of the determination until such
23 time as the auditor general reports THE SCHOOL DISTRICT'S compliance with
24 the uniform system of financial records. The auditor general and the
25 department of education shall assist the school district to achieve
26 compliance during such period.

27 (b) CONSULT WITH THE DEPARTMENT OF EDUCATION TO DETERMINE THE
28 AMOUNT OF TRAINING AND OTHER INTERVENTIONS NECESSARY OR APPROPRIATE TO

1 ASSIST THE SCHOOL DISTRICT TO ACHIEVE COMPLIANCE AND DIRECT THE DEPARTMENT
2 OF EDUCATION TO PROVIDE THE TRAINING AND INTERVENTIONS WITHIN THIRTY
3 CALENDAR DAYS. ANY TRAINING UNDER THIS SUBDIVISION MUST BE PROVIDED TO
4 THE SCHOOL DISTRICT'S SUPERINTENDENT, BUSINESS MANAGER AND CHIEF FINANCIAL
5 OFFICER AND ANY OTHER ADMINISTRATOR OR EXECUTIVE IDENTIFIED BY THE STATE
6 BOARD OF EDUCATION OR THE DEPARTMENT OF EDUCATION. THE DEPARTMENT SHALL
7 NOTIFY THE STATE BOARD OF EDUCATION WHEN THE TRAINING AND INTERVENTIONS
8 PROVIDED PURSUANT TO THIS SUBDIVISION ARE COMPLETED. THE DEPARTMENT MAY
9 CONTRACT WITH A THIRD PARTY TO PROVIDE THE TRAINING AND
10 INTERVENTIONS. THE SCHOOL DISTRICT SHALL PAY FOR ANY COSTS INCURRED BY
11 THE DEPARTMENT TO PROVIDE THE TRAINING AND INTERVENTIONS PURSUANT TO THIS
12 SUBDIVISION.

13 2. IF THE SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
14 EIGHTEEN MONTHS AFTER RECEIVING NOTICE FROM THE AUDITOR GENERAL, ~~[IMPOSE A~~
15 ~~CIVIL PENALTY AGAINST THE SCHOOL DISTRICT'S SUPERINTENDENT IN AN AMOUNT~~
16 ~~EQUAL TO \$1,000 FOR EACH MONTH, BEGINNING THE EIGHTEENTH MONTH,]~~ [NOTIFY
17 THE SCHOOL DISTRICT GOVERNING BOARD THAT THE SCHOOL DISTRICT'S
18 SUPERINTENDENT IS INELIGIBLE TO RECEIVE PERFORMANCE-BASED PAY, INCLUDING
19 THE PORTION OF THE SUPERINTENDENT'S ANNUAL SALARY THAT IS CLASSIFIED AS
20 PERFORMANCE PAY PURSUANT TO SECTION 15-341, SUBSECTION A, PARAGRAPH 39,
21 FOR THE PERIOD BEGINNING ON THE FIRST DAY OF THE EIGHTEENTH MONTH AFTER
22 THE SCHOOL DISTRICT RECEIVES NOTICE FROM THE AUDITOR GENERAL AND] UNTIL
23 SUCH TIME AS THE AUDITOR GENERAL REPORTS THE SCHOOL DISTRICT'S COMPLIANCE
24 WITH THE UNIFORM SYSTEM OF FINANCIAL RECORDS.

25 C. The general budget limit and maintenance and operations section
26 of the budget for the current year and for the budget year if the school
27 district is not in compliance before the end of the current year, shall
28 be reduced by the amount determined in subsection B, PARAGRAPH 1 OF THIS
29 SECTION until the state board of education determines that the school
30 district is in compliance.

31 D. If compliance is determined by the state board of education in
32 the same year as the determination of noncompliance or in the first year
33 after the fiscal year of the determination of noncompliance, the resulting
34 adjustment to budgeted maintenance and operations and to the general
35 budget limit may be applied to the fiscal year of the determination of
36 noncompliance equal to the amount adjusted in that fiscal year or to the
37 current year equal to the amount adjusted in the current year. Previously
38 withheld monies that resulted from the determination of noncompliance
39 shall be returned in the year compliance is determined.

40 Sec. 2. Section 15-302, Arizona Revised Statutes, is amended to
41 read:

42 15-302. Powers and duties

43 A. The county school superintendent shall:

44 1. Distribute all laws, reports, circulars, instructions and forms
45 that the county school superintendent may receive for the use of school
46 officers.

47 2. Record all official acts.

1 3. Appoint governing board members of school districts to fill all
2 vacancies, but the term of the appointment shall be until the next regular
3 election for governing board members, at which time a successor shall be
4 elected to serve the unexpired portion of the term. A person who is
5 subject to registration as a sex offender in this state or in any other
6 jurisdiction is ineligible for appointment under this paragraph. Within
7 thirty days after notification of a vacancy, the school district governing
8 board may submit up to three names to the county school superintendent for
9 consideration of an appointment to fill the vacancy. The county school
10 superintendent is not required to appoint a governing board member from
11 the list of names submitted by the governing board. The county school
12 superintendent, if the county school superintendent deems it in the best
13 interest of the community, may call a special election to fill the
14 vacancies. If an election is called, the newly elected member shall serve
15 for the remainder of the unexpired portion of the term.

16 4. Make reports, when directed by the superintendent of public
17 instruction, showing matters relating to schools in the county as may be
18 required on the forms furnished by the superintendent of public
19 instruction.

20 5. Have such powers and perform such duties as otherwise prescribed
21 by law.

22 6. On or before October 1 of each year, report to the
23 superintendent of public instruction the amount of monies received from
24 state school funds, special school district taxes and other sources, the
25 total expenditures for school purposes and the balance on hand to the
26 credit of each school district at the close of the school year.

27 7. Contract with the board of supervisors for the board of
28 supervisors to conduct all regular school district elections.

29 8. Be responsible, in cooperation with the school district
30 governing boards and the board of supervisors, for all special school
31 district elections.

32 9. Maintain teacher and administrator certification records of
33 effective dates and expiration dates of teachers' and administrators'
34 certificates in compliance with guidelines prescribed in the uniform
35 system of financial records for those school districts for which the
36 county school superintendent is the fiscal agent. The county school
37 superintendent shall not draw a warrant in payment of a teacher's,
38 substitute teacher's or administrator's salary unless the teacher,
39 substitute teacher or administrator is legally certified during the fiscal
40 year in which the term for payment is demanded.

41 10. Notify a school district three years before the expiration of a
42 revenue control limit override that the school district's budget must be
43 adjusted in the final two years of the override pursuant to section
44 15-481, subsections ~~P~~ Q and ~~R~~ R, if the voters do not approve another
45 override.

46 11. In collaboration with the department of education and other
47 state agencies, assist school districts, charter schools, county free

1 library districts, municipal libraries, nonprofit and public libraries,
2 tribal libraries, private schools and tribal schools on using student
3 data, staff development, curriculum alignment and technology to improve
4 student performance.

5 12. Assist schools in meeting yearly adequate progress goals as
6 defined by criteria established by the state board of education and
7 implemented by the department of education.

8 B. At the request of school districts and charter schools, the
9 county school superintendent may provide discretionary programs in
10 addition to the programs prescribed in subsection A of this section.

11 C. The county school superintendent may:

12 1. Provide the services prescribed in subsections A and B of this
13 section in the county or jointly with two or more counties pursuant to
14 title 11, chapter 7, article 3.

15 2. Review the operations and finances, including expenditures, of
16 any school district that is located in the county.

17 D. Each county school superintendent may establish an advisory
18 committee to the office of the county school superintendent.

19 Sec. 3. Section 15-481, Arizona Revised Statutes, is amended to
20 read:

21 15-481. Override election; budget increases; eligibility;
22 informational pamphlet; notice; ballot; effect

23 A. If a proposed budget of a school district exceeds the aggregate
24 budget limit for the budget year, at least ninety days before the proposed
25 election the governing board shall order an override election to be held
26 on the first Tuesday following the first Monday in November as prescribed
27 by section 16-204, subsection F for the purpose of presenting the proposed
28 budget to the qualified electors of the school district who by a majority
29 of those voting either shall affirm or reject the budget. At the same
30 time as the order of the election, the governing board shall publicly
31 declare the deadline for submitting arguments, as set by the county school
32 superintendent pursuant to subsection B, paragraph 9 of this section, to
33 be submitted in the informational pamphlet and shall immediately post the
34 deadline in a prominent location on the district's website. In addition,
35 the governing board shall prepare an alternate budget that does not
36 include an increase in the budget of more than the amount allowed as
37 provided in section 15-905. If the qualified electors approve the
38 proposed budget, the governing board of the school district shall follow
39 the procedures prescribed in section 15-905 for adopting a budget that
40 includes the authorized increase. If the qualified electors disapprove
41 the proposed budget, the governing board shall follow the procedures
42 prescribed in section 15-905 for adopting a budget that does not include
43 the proposed increase or the portion of the proposed increase that exceeds
44 the amount authorized by a previously approved budget increase as
45 prescribed in subsection ~~P~~ Q of this section.

46 B. The county school superintendent shall prepare an informational
47 pamphlet on the proposed increase in the budget and a sample ballot and,

1 at least forty days before the election, shall transmit the informational
2 pamphlet and the sample ballot to the governing board of the school
3 district. The governing board, on receipt of the informational pamphlet
4 and the ballot, shall mail or distribute the informational pamphlet and
5 the ballot to the households in which qualified electors reside within the
6 school district at least thirty-five days before the election. Any
7 distribution of material concerning the proposed increase in the budget
8 shall not be conducted by children enrolled in the school district. The
9 informational pamphlet shall contain the following information:

- 10 1. The date of the election.
- 11 2. The voter's polling place and the times it is open.
- 12 3. The proposed total increase in the budget that exceeds the
13 amount allowed pursuant to section 15-905.
- 14 4. The total amount of the current year's budget, the total amount
15 of the proposed budget and the total amount of the alternate budget.
- 16 5. If the override is for a period of more than one year, a
17 statement indicating the number of years the proposed increase in the
18 budget would be in effect and the percentage of the school district's
19 revenue control limit that the district is requesting for the future
20 years.
- 21 6. The proposed total amount of revenues that will fund the
22 increase in the budget and the amount that will be obtained from a levy of
23 taxes on the taxable property within the school district for the first
24 year for which the budget increase was adopted.
- 25 7. The proposed amount of revenues that will fund the increase in
26 the budget and that will be obtained from other than a levy of taxes on
27 the taxable property within the school district for the first year for
28 which the budget increase was adopted.
- 29 8. The dollar amount and the purpose for which the proposed
30 increase in the budget is to be expended for the first year for which the
31 budget increase was adopted. The purpose statement shall only present
32 factual information in a neutral manner. Advocacy for the expenditures is
33 strictly limited to the arguments submitted pursuant to paragraph 9 of
34 this subsection.
- 35 9. At least two arguments, if submitted, but not more than ten
36 arguments for and two arguments, if submitted, but not more than ten
37 arguments against the proposed increase in the budget. The arguments
38 shall be in a form prescribed by the county school superintendent, and
39 each argument shall not exceed two hundred words. Arguments for the
40 proposed increase in the budget shall be provided in writing and signed by
41 the governing board. The ballot arguments for the proposed increase in
42 the budget shall be signed as the governing board of the school district
43 without listing any member's individual name for the arguments for the
44 proposed increase. If submitted, additional arguments in favor of the
45 proposed increase in the budget shall be provided in writing with a
46 signed, sworn statement by those in favor. Arguments against the proposed
47 increase in the budget shall be provided in writing with a signed, sworn

1 statement by those in opposition. If the argument is submitted by an
2 organization, it shall contain the sworn statement of two executive
3 officers of the organization. If the argument is submitted by a political
4 committee, it shall contain the sworn statement of the committee's
5 chairperson or treasurer. If the argument is submitted by an individual
6 and not on behalf of an organization, a political committee or any other
7 group, the ~~person~~ INDIVIDUAL shall submit the argument with a sworn,
8 notarized statement. The names of persons and entities submitting written
9 arguments shall be included in the informational pamphlet. Persons
10 signing the argument shall identify themselves by giving their residence
11 address and telephone number, which may not appear in the informational
12 pamphlet, except that the person's city or town and state of residence
13 shall appear in the pamphlet. Any argument that is submitted and that
14 does not comply with this paragraph may not be included in the pamphlet.
15 The county school superintendent shall review all factual statements
16 contained in the written arguments and correct any inaccurate statements
17 of fact. The superintendent shall not review and correct any portion of
18 the written arguments that are identified as statements of the author's
19 opinion. The county school superintendent shall make the written
20 arguments available to the public as provided in title 39, chapter 1,
21 article 2. A deadline for submitting arguments to be included in the
22 informational pamphlet shall be set by the county school superintendent.

23 10. A statement that the alternate budget shall be adopted by the
24 governing board if the proposed budget is not adopted by the qualified
25 electors of the school district.

26 11. The current limited property value and the net assessed
27 valuation provided by the department of revenue, the first year tax rate
28 for the proposed override and the estimated amount of the secondary
29 property taxes if the proposed budget is adopted for each of the
30 following:

31 (a) An owner-occupied residence whose assessed valuation is the
32 average assessed valuation of property classified as class three, as
33 prescribed by section 42-12003 for the current year in the school
34 district.

35 (b) An owner-occupied residence whose assessed valuation is
36 one-half of the assessed valuation of the residence in subdivision (a) of
37 this paragraph.

38 (c) An owner-occupied residence whose assessed valuation is twice
39 the assessed valuation of the residence in subdivision (a) of this
40 paragraph.

41 (d) A business whose assessed valuation is the average of the
42 assessed valuation of property classified as class one, as prescribed by
43 section 42-12001, paragraphs 12 and 13 for the current year in the school
44 district.

45 12. If the election is conducted pursuant to subsection L or M of
46 this section, the following information:

1 (a) An executive summary of the school district's most recent
2 capital improvement plan submitted to the school facilities oversight
3 board.

4 (b) A complete list of each proposed capital improvement that will
5 be funded with the budget increase and a description of the proposed cost
6 of each improvement, including a separate aggregation of capital
7 improvements for administrative purposes as defined by the school
8 facilities oversight board.

9 (c) The tax rate associated with each of the proposed capital
10 improvements and the estimated cost of each capital improvement for the
11 owner of a single family home that is valued at \$80,000.

12 C. For the purpose of this section, the school district may use its
13 staff, equipment, materials, buildings or other resources only to
14 distribute the informational pamphlet at the school district office or at
15 public hearings and to produce such information as required in subsection
16 B of this section. This subsection does not preclude school districts from
17 holding or participating in any public hearings at which testimony is
18 given by at least one person for the proposed increase and one person
19 against the proposed increase. Any written information provided by the
20 district pertaining to the override election shall include financial
21 information showing the estimated first year tax rate for the proposed
22 budget override amount.

23 D. If any amount of the proposed increase will be funded by a levy
24 of taxes in the district, the election prescribed in subsection A of this
25 section shall be held on the first Tuesday following the first Monday in
26 November as prescribed by section 16-204, subsection F. If the proposed
27 increase will be fully funded by revenues from other than a levy of taxes,
28 the elections prescribed in subsection A of this section shall be held on
29 any date prescribed by section 16-204. The elections shall be conducted
30 as nearly as practicable in the manner prescribed in article 1 of this
31 chapter, sections 15-422, through 15-423, 15-424 and ~~section~~ 15-426,
32 relating to special elections, except that:

33 1. The notices required pursuant to section 15-403 shall be posted
34 not less than twenty-five days before the election.

35 2. Ballots shall be counted pursuant to title 16, chapter 4,
36 article 10.

37 E. If the election is to exceed the revenue control limit and if
38 the proposed increase will be fully funded by a levy of taxes on the
39 taxable property within the school district, the ballot shall contain the
40 words "budget increase, yes" and "budget increase, no", and the voter
41 shall signify the voter's desired choice. The ballot shall also contain
42 the amount of the proposed increase of the proposed budget over the
43 alternate budget, a statement that the amount of the proposed increase
44 will be based on a percentage of the school district's revenue control
45 limit in future years, if applicable, as provided in subsection ~~P~~ Q of
46 this section and the following statement:

1 Any budget increase authorized by this election shall be
2 entirely funded by a levy of taxes on the taxable property
3 within this school district for the year for which adopted and
4 for ____ subsequent years, shall not be realized from monies
5 furnished by the state and shall not be subject to the
6 limitation on taxes specified in article IX, section 18,
7 Constitution of Arizona. Based on the current net assessed
8 valuation used for secondary property tax purposes, to fund
9 the proposed increase in the school district's budget would
10 require an estimated tax rate of \$_____ per \$100 of
11 net assessed valuation used for secondary property tax
12 purposes and is in addition to the school district's tax rate
13 that will be levied to fund the school district's revenue
14 control limit allowed by law.

15 F. If the election is to exceed the revenue control limit and if
16 the proposed increase will be fully funded by revenues from other than a
17 levy of taxes on the taxable property within the school district, the
18 ballot shall contain the words "budget increase, yes" and "budget
19 increase, no", and the voter shall signify the voter's desired choice.
20 The ballot shall also contain:

21 1. The amount of the proposed increase of the proposed budget over
22 the alternate budget.

23 2. A statement that the amount of the proposed increase will be
24 based on a percentage of the school district's revenue control limit in
25 future years, if applicable, as provided in subsection ~~P~~ Q of this
26 section.

27 3. The following statement:

28 Any budget increase authorized by this election shall be
29 entirely funded by this school district with revenues from
30 other than a levy of taxes on the taxable property within the
31 school district for the year for which adopted and for ____
32 subsequent years and shall not be realized from monies
33 furnished by the state.

34 G. Except as provided in subsection H of this section, the maximum
35 budget increase that may be requested and authorized as provided in
36 subsection E or F of this section or the combination of subsections E and
37 F of this section is fifteen percent of the revenue control limit as
38 provided in section 15-947, subsection A for the budget year. If a school
39 district requests an override pursuant to section 15-482 or to continue
40 with a budget override pursuant to section 15-482 for pupils in
41 kindergarten programs and grades one through three that was authorized
42 before December 31, 2008, the maximum budget increase that may be
43 requested and authorized as provided in subsection E or F of this section
44 or the combination of subsections E and F of this section is ten percent
45 of the revenue control limit as provided in section 15-947, subsection A
46 for the budget year.

H. Special budget override provisions for school districts with a student count of less than one hundred fifty-four in kindergarten programs and grades one through eight or with a student count of less than one hundred seventy-six in grades nine through twelve are as follows:

1. The maximum budget increase that may be requested and authorized as provided in subsections E and F of this section is the greater of the amount prescribed in subsection G of this section or a limit computed as follows:

(a) For common or unified districts with a student count of less than one hundred fifty-four in kindergarten programs and grades one through eight, the limit computed as prescribed in item (i) or (ii) of this subdivision, whichever is appropriate:

(i)

Student Count	Small School Student Count Limit	Support Level Weight for Small Isolated School Districts	Phase Down Reduction Factor
<u> </u>	<u> </u>	<u> </u>	<u> </u>
<u> </u> - <u>125</u>		x 1.358 + (0.0005 x (500 - Student Count))	x \$ <u> </u> = \$ <u> </u>
	Phase Down Base	Phase Down Reduction Factor	Small Isolated School District Elementary Limit
	<u> </u>	<u> </u>	<u> </u>
	\$150,000 -	\$ <u> </u>	= \$ <u> </u>

(ii)

Student Count	Small School Student Count Limit	Support Level Weight for Small School Districts	Phase Down Reduction Factor
<u> </u>	<u> </u>	<u> </u>	<u> </u>
<u> </u> - <u>125</u>		x 1.278 + (0.0003 x (500 - Student Count))	x \$ <u> </u> = \$ <u> </u>
	Phase Down Base	Phase Down Reduction Factor	Small School District Elementary Limit
	<u> </u>	<u> </u>	<u> </u>
	\$150,000 -	\$ <u> </u>	= \$ <u> </u>

(b) For unified or union high school districts with a student count of less than one hundred seventy-six in grades nine through twelve, the limit computed as prescribed in item (i) or (ii) of this subdivision, whichever is appropriate:

(i)

Student Count	Small School Student Count Limit	Support Level Weight for Small Isolated School Districts	Phase Down Reduction Factor
<u> </u>	<u> </u>	<u> </u>	<u> </u>
<u> </u> - <u>100</u>		x 1.468 + (0.0005 x (500 - Student Count))	x \$ <u> </u> = \$ <u> </u>
	Phase Down Base	Phase Down Reduction Factor	Small Isolated District Secondary Limit
	<u> </u>	<u> </u>	<u> </u>
	\$350,000 -	\$ <u> </u>	= \$ <u> </u>

(ii)

1		Small School	Support Level Weight		Phase Down
2	Student	Student	for Small		Reduction
3	<u>Count</u>	<u>Count Limit</u>	<u>School Districts</u>	<u>Base Level</u>	<u>Factor</u>
4	_____	- 100	x 1.398 + (0.0004 x	x \$ _____	= \$ _____
5			(500 - Student Count))		
6				Small	
7		Phase Down	Phase Down	School District	
8		<u>Base</u>	<u>Reduction Factor</u>	<u>Secondary Limit</u>	
9		\$350,000	- \$ _____	= \$ _____	

10 (c) If both subdivisions (a) and (b) of this paragraph apply to a
 11 unified school district, its limit for the purposes of this paragraph is
 12 the combination of its elementary limit and its secondary limit.

13 (d) If only subdivision (a) or (b) of this paragraph applies to a
 14 unified school district, the district's limit for the purposes of this
 15 paragraph is the sum of the limit computed as provided in subdivision (a)
 16 or (b) of this paragraph plus ten percent of the revenue control limit
 17 attributable to those grade levels that do not meet the eligibility
 18 requirements of this subsection. If a school district budgets monies
 19 outside the revenue control limit pursuant to section 15-949, subsection
 20 E, the district's limit for the purposes of this paragraph is only the ten
 21 percent of the revenue control limit attributable to those grade levels
 22 that are not included under section 15-949, subsection E. For the
 23 purposes of this subdivision, the revenue control limit is separated into
 24 elementary and secondary components based on the weighted student count as
 25 provided in section 15-971, subsection B, paragraph 2, subdivision (a).

26 2. If a school district utilizes this subsection to request an
 27 override of more than one year, the ballot shall include an estimate of
 28 the amount of the proposed increase in the future years in place of the
 29 statement that the amount of the proposed increase will be based on a
 30 percentage of the school district's revenue control limit in future years,
 31 as prescribed in subsections E and F of this section.

32 3. Notwithstanding subsection ~~P~~ Q of this section, the maximum
 33 period of an override authorized pursuant to this subsection is five
 34 years.

35 4. Subsection ~~P~~ Q, paragraphs 1 and 2 of this section do not apply
 36 to overrides authorized pursuant to this subsection.

37 I. If the election is to exceed the revenue control limit as
 38 provided in section 15-482 and if the proposed increase will be fully
 39 funded by a levy of taxes on the taxable property within the school
 40 district, the ballot shall contain the words "budget increase, yes" and
 41 "budget increase, no", and the voter shall signify the voter's desired
 42 choice. The ballot shall also contain the amount of the proposed increase
 43 of the budget over the alternate budget, a statement that the amount of
 44 the proposed increase will be based on a percentage of the school
 45 district's revenue control limit in future years, if applicable, as
 46 provided in subsection ~~Q~~ R of this section, and the following statement:

1 Any budget increase authorized by this election shall be
2 entirely funded by a levy of taxes on the taxable property
3 within this school district for the year for which adopted and
4 for _____ subsequent years, shall not be realized from monies
5 furnished by the state and shall not be subject to the
6 limitation on taxes specified in article IX, section 18,
7 Constitution of Arizona. Based on the current net assessed
8 valuation used for secondary property tax purposes, to fund
9 the proposed increase in the school district's budget that
10 will be funded by a levy of taxes on the taxable property
11 within this school district would require an estimated tax
12 rate of \$_____ per \$100 of net assessed valuation used
13 for secondary property tax purposes and is in addition to the
14 school district's tax rate that will be levied to fund the
15 school district's revenue control limit allowed by law.

16 J. If the election is to exceed the revenue control limit as
17 provided in section 15-482 and if the proposed increase will be fully
18 funded by revenues other than a levy of taxes on the taxable property
19 within the school district, the ballot shall contain the words "budget
20 increase, yes" and "budget increase, no", and the voter shall signify the
21 voter's desired choice. The ballot shall also contain the amount of the
22 proposed increase of the proposed budget over the alternate budget, a
23 statement that the amount of the proposed increase will be based on a
24 percentage of the school district's revenue control limit in future years,
25 if applicable, as provided in subsection ~~R~~ R of this section and the
26 following statement:

27 Any budget increase authorized by this election shall be
28 entirely funded by this school district with revenues from
29 other than a levy of taxes on the taxable property within the
30 school district for the year for which adopted and for _____
31 subsequent years and shall not be realized from monies
32 furnished by the state.

33 K. The maximum budget increase that may be requested and authorized
34 as provided in subsection I or J of this section, or a combination of both
35 of these subsections, is five percent of the revenue control limit as
36 provided in section 15-947, subsection A for the budget year. For a
37 common school district not within a high school district or a common
38 school district within a high school district that offers instruction in
39 high school subjects as provided in section 15-447, five percent of the
40 revenue control limit means five percent of the revenue control limit
41 attributable to the weighted student count in preschool programs for
42 children with disabilities, kindergarten programs and grades one through
43 eight as provided in section 15-971, subsection B. For a unified school
44 district, five percent of the revenue control limit means five percent of
45 the revenue control limit attributable to the weighted student count in
46 preschool programs for children with disabilities, kindergarten programs
47 and grades one through twelve. For a union high school district, five

1 percent of the revenue control limit means five percent of the revenue
2 control limit attributable to the weighted student count in grades nine
3 through twelve.

4 L. If the election is to exceed district additional assistance and
5 if the proposed increase will be fully funded by a levy of taxes on the
6 taxable property within the school district, the ballot shall contain the
7 words "budget increase, yes" and "budget increase, no", and the voter
8 shall signify the voter's desired choice. An election held pursuant to
9 this subsection shall be held on the first Tuesday after the first Monday
10 of November. The ballot shall also contain the amount of the proposed
11 increase of the proposed budget over the alternate budget and the
12 following statement:

13 Any budget increase authorized by this election shall be
14 entirely funded by a levy of taxes on the taxable property
15 within this school district for the year in which adopted and
16 for _____ subsequent years, shall not be realized from monies
17 furnished by the state and shall not be subject to the
18 limitation on taxes specified in article IX, section 18,
19 Constitution of Arizona. Based on the current net assessed
20 valuation used for secondary property tax purposes, to fund
21 the proposed increase in the school district's budget would
22 require an estimated tax rate of \$_____ per \$100 of net
23 assessed valuation used for secondary property tax purposes
24 and is in addition to the school district's tax rate that will
25 be levied to fund the school district's district additional
26 assistance allowed by law.

27 M. If the election is to exceed district additional assistance and
28 if the proposed increase will be fully funded by revenues from other than
29 a levy of taxes on the taxable property within the school district, the
30 ballot shall contain the words "budget increase, yes" and "budget
31 increase, no", and the voter shall signify the voter's desired choice. An
32 election held pursuant to this subsection shall be held on the first
33 Tuesday after the first Monday of November. The ballot shall also contain
34 the amount of the proposed increase of the proposed budget over the
35 alternate budget and the following statement:

36 Any budget increase authorized by this election shall be
37 entirely funded by this school district with revenues from
38 other than a levy of taxes on the taxable property within the
39 school district for the year in which adopted and for _____
40 subsequent years and shall not be realized from monies
41 furnished by the state.

42 N. If the election is to exceed a combination of the revenue
43 control limit as provided in subsection E or F of this section, the
44 revenue control limit as provided in subsection I or J of this section or
45 district additional assistance as provided in subsection L or M of this
46 section, the ballot shall be prepared so that the voters may vote on each

1 proposed increase separately and shall contain statements required in the
2 same manner as if each proposed increase were submitted separately.

3 O. IF A SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
4 ~~[NINETY DAYS]~~ [EIGHTEEN MONTHS] AFTER RECEIVING NOTICE FROM THE AUDITOR
5 GENERAL PURSUANT TO SECTION 15-271, THE SCHOOL DISTRICT GOVERNING BOARD
6 MAY NOT ORDER AN OVERRIDE ELECTION AS PROVIDED IN SUBSECTION L OR M OF
7 THIS SECTION UNTIL THE SCHOOL DISTRICT HAS CORRECTED ANY DEFICIENCIES.
8 FOR THE PURPOSES OF THIS SUBSECTION, THE SCHOOL DISTRICT IS DEEMED TO HAVE
9 CORRECTED ANY DEFICIENCIES FROM AND AFTER THE DATE THAT THE AUDITOR
10 GENERAL REPORTS THAT THE SCHOOL DISTRICT IS IN COMPLIANCE WITH THE UNIFORM
11 SYSTEM OF FINANCIAL RECORDS.

12 ~~P.~~ P. If the election provides for a levy of taxes on the taxable
13 property within the school district, at least thirty days before the
14 election, the department of revenue shall provide the school district
15 governing board and the county school superintendent with the current net
16 assessed valuation of the school district. The governing board and the
17 county school superintendent shall use the current net assessed valuation
18 of the school district to translate the amount of the proposed dollar
19 increase in the budget of the school district over that allowed by law
20 into a tax rate figure.

21 ~~P.~~ Q. If the voters in a school district vote to adopt a budget in
22 excess of the revenue control limit as provided in subsection E or F of
23 this section, any additional increase shall be included in the aggregate
24 budget limit for each of the years authorized. Any additional increase
25 shall be excluded from the determination of equalization assistance. The
26 school district governing board, however, may levy on the net assessed
27 valuation used for secondary property tax purposes of the property in the
28 school district the additional increase if adopted under subsection E of
29 this section for the period of one year, two years or five through seven
30 years as authorized. If an additional increase is approved as provided in
31 subsection F of this section, the school district governing board may only
32 use revenues derived from the school district's prior year's maintenance
33 and operation fund ending cash balance to fund the additional increase.
34 If a budget increase was previously authorized and will be in effect for
35 the budget year or budget year and subsequent years, as provided in
36 subsection E or F of this section, the governing board may request a new
37 budget increase as provided in the same subsection under which the prior
38 budget increase was adopted, which shall not exceed the maximum amount
39 allowed under subsection G of this section. If the voters in the school
40 district authorize the new budget increase amount, the existing budget
41 increase no longer is in effect. If the voters in the school district do
42 not authorize the budget increase amount, the existing budget increase
43 remains in effect for the time period for which it was authorized. The
44 maximum additional increase authorized as provided in subsection E or F of
45 this section and the additional increase that is included in the aggregate
46 budget limit is based on a percentage of a school district's revenue

1 control limit in future years, if the budget increase is authorized for
2 more than one year. If the additional increase:

3 1. Is for two years, the proposed increase in the second year is
4 equal to the initial proposed percentage increase.

5 2. Is for five years or more, the proposed increase is equal to the
6 initial proposed percentage increase in the following years of the
7 proposed increase, except that in the next to last year it is two-thirds
8 of the initial proposed percentage increase and it is one-third of the
9 initial proposed percentage increase in the last year of the proposed
10 increase.

11 ~~R.~~ R. If the voters in a school district vote to adopt a budget in
12 excess of the revenue control limit as provided in subsection I or J of
13 this section, any additional increase shall be included in the aggregate
14 budget limit for each of the years authorized. Any additional increase
15 shall be excluded from the determination of equalization assistance. The
16 school district governing board, however, may levy on the net assessed
17 valuation used for secondary property tax purposes of the property in the
18 school district the additional increase if adopted under subsection I of
19 this section for the period of one year, two years or five through seven
20 years as authorized. If an additional increase is approved as provided in
21 subsection J of this section, the increase may only be budgeted and
22 expended if sufficient monies are available in the maintenance and
23 operation fund of the school district. If a budget increase was
24 previously authorized and will be in effect for the budget year or budget
25 year and subsequent years, as provided in subsection I or J of this
26 section, the governing board may request a new budget increase as provided
27 in the same subsection under which the prior budget increase was adopted
28 that does not exceed the maximum amount permitted under subsection K of
29 this section. If the voters in the school district authorize the new
30 budget increase amount, the existing budget increase no longer is in
31 effect. If the voters in the school district do not authorize the budget
32 increase amount, the existing budget increase remains in effect for the
33 time period for which it was authorized. The maximum additional increase
34 authorized as provided in subsection I or J of this section and the
35 additional increase that is included in the aggregate budget limit is
36 based on a percentage of a school district's revenue control limit in
37 future years, if the budget increase is authorized for more than one year.
38 If the additional increase:

39 1. Is for two years, the proposed increase in the second year is
40 equal to the initial proposed percentage increase.

41 2. Is for five years or more, the proposed increase is equal to the
42 initial proposed percentage increase in the following years of the
43 proposed increase, except that in the next to last year it is two-thirds
44 of the initial proposed percentage increase and it is one-third of the
45 initial proposed percentage increase in the last year of the proposed
46 increase.

1 ~~R.~~ S. If the voters in a school district vote to adopt a budget in
2 excess of district additional assistance as provided in subsection L of
3 this section, any additional increase shall be included in the aggregate
4 budget limit for each of the years authorized. The additional increase
5 shall be excluded from the determination of equalization assistance. The
6 school district governing board, however, may levy on the net assessed
7 valuation used for secondary property tax purposes of the property in the
8 school district the additional increase for the period authorized but not
9 to exceed ten years. For overrides approved by a vote of the qualified
10 electors of the school district at an election held from and after
11 October 31, 1998, the period of the additional increase prescribed in this
12 subsection shall not exceed seven years for any capital override election.

13 ~~S.~~ T. If the voters in a school district vote to adopt a budget in
14 excess of district additional assistance as provided in subsection M of
15 this section, any additional increase shall be included in the aggregate
16 budget limit for each of the years authorized. The additional increase
17 shall be excluded from the determination of equalization assistance. The
18 school district governing board may only use revenues derived from the
19 school district's prior year's maintenance and operation fund ending cash
20 balance and capital outlay fund ending cash balance to fund the additional
21 increase for the period authorized but not to exceed ten years. For
22 overrides approved by a vote of the qualified electors of the school
23 district at an election held from and after October 31, 1998, the period
24 of the additional increase prescribed in this subsection shall not exceed
25 seven years for any capital override election.

26 ~~T.~~ U. In addition to subsections ~~P~~ Q and ~~S~~ T of this section,
27 from the maintenance and operation fund and capital outlay fund ending
28 cash balances, the school district governing board shall first use any
29 available revenues to reduce its primary tax rate to zero and shall use
30 any remaining revenues to fund the additional increase authorized as
31 provided in subsections F and M of this section.

32 ~~U.~~ V. If the voters in a school district disapprove the proposed
33 budget, the alternate budget that, except for any budget increase
34 authorized by a prior election, does not include an increase in the budget
35 in excess of the amount provided in section 15-905 shall be adopted by the
36 governing board as provided in section 15-905.

37 ~~V.~~ W. The governing board may request that any override election
38 be cancelled if any change in chapter 9 of this title changes the amount
39 of the aggregate budget limit as provided in section 15-905. The request
40 to cancel the override election shall be made to the county school
41 superintendent at least eighty days before the date of the scheduled
42 override election.

43 ~~W.~~ X. For any election conducted pursuant to subsection L or M of
44 this section:

45 1. The ballot shall include the following statement in addition to
46 any other statement required by this section:

1 The capital improvements that are proposed to be funded
2 through this override election are to exceed the state
3 standards and are in addition to monies provided by the state.
4 _____ school district is proposing to increase its
5 budget by \$_____ to fund capital improvements over and
6 above those funded by the state. Under the students first
7 capital funding system, _____ school district is entitled
8 to state monies for new construction and renovation of school
9 buildings in accordance with state law.

10 2. The ballot shall contain the words "budget increase, yes" and
11 "budget increase, no", and the voter shall signify the voter's desired
12 choice.

13 3. At least eighty-five days before the election, the school
14 district shall submit proposed ballot language to the director of the
15 Arizona legislative council. The director of the Arizona legislative
16 council shall review the proposed ballot language to determine whether the
17 proposed ballot language complies with this section. If the director of
18 the Arizona legislative council determines that the proposed ballot
19 language does not comply with this section, the director, within ten
20 calendar days after receiving the proposed ballot language, shall notify
21 the school district of the director's objections, and the school district
22 shall resubmit revised ballot language to the director for approval.

23 ~~Y.~~ Y. If the voters approve the budget increase pursuant to
24 subsection L or M of this section, the school district shall not use the
25 override proceeds for any purposes other than the proposed capital
26 improvements listed in the informational pamphlet, except that up to ten
27 percent of the override proceeds may be used for general capital expenses,
28 including cost overruns of proposed capital improvements.

29 ~~Z.~~ Z. Each school district that currently increases its budget
30 pursuant to this section shall hold a public meeting each year between
31 September 1 and October 31 at which an update of the programs or capital
32 improvements financed through the override is discussed and at which the
33 public is allowed an opportunity to comment and:

34 1. If the increase is pursuant to subsection L or M of this
35 section, at a minimum, the update shall include the progress of capital
36 improvements financed through the override, a comparison of the current
37 status and the original projections on the construction of capital
38 improvements, the costs of capital improvements and the costs of capital
39 improvements in progress or completed since the prior meeting and the
40 future capital plans of the school district. The school district shall
41 include in the public meeting a discussion of the school district's use of
42 state capital aid and voter-approved bonding in funding capital
43 improvements, if any.

44 2. If the increase is pursuant to subsection E, F, I or J of this
45 section, the update shall include at a minimum the amount expended in the
46 previous fiscal year and the amount included in the current budget for

1 each of the purposes listed in the informational pamphlet prescribed by
2 subsection B of this section.

3 ~~Z.~~ AA. SUBJECT TO THE REQUIREMENTS PRESCRIBED BY SUBSECTION O OF
4 THIS SECTION, if a budget in excess of district additional assistance was
5 previously adopted by the voters in a school district and will be in
6 effect for the budget year or budget year and subsequent years, as
7 provided in subsection L or M of this section, the governing board may
8 request an additional budget in excess of district additional assistance.
9 If the voters in a school district authorize the additional budget in
10 excess of district additional assistance, the existing district additional
11 assistance budget increase remains in effect.

12 ~~AA.~~ BB. Notwithstanding any other law, the maximum budget increase
13 that may be authorized pursuant to subsection L or M of this section is
14 ten percent of the school district's revenue control limit.

15 ~~BB.~~ CC. If the election is to continue to exceed the revenue
16 control limit and if the proposed override will be fully funded by a
17 continuation of a levy of taxes on the taxable property in the school
18 district, the ballot shall contain the words "budget override
19 continuation, yes" and "budget override continuation, no", and the voter
20 shall signify the voter's desired choice. The ballot shall also contain
21 the amount of the proposed continuation of the budget increase of the
22 proposed budget over the alternate budget, a statement that the amount of
23 the proposed increase will be based on a percentage of the school
24 district's revenue control limit in future years, if applicable, as
25 provided in subsection ~~P~~ Q of this section and the following statement:

26 Any budget increase continuation authorized by this
27 election shall be entirely funded by a levy of taxes on the
28 taxable property in this school district for the year for
29 which adopted and for _____ subsequent years, shall not be
30 realized from monies furnished by the state and shall not be
31 subject to the limitation on taxes specified in article IX,
32 section 18, Constitution of Arizona. Based on the current net
33 assessed valuation used for secondary property tax purposes,
34 to fund the proposed continuation of the increase in the
35 school district's budget would require an estimated
36 continuation of a tax rate of \$_____ per \$100 of
37 assessed valuation used for secondary property tax purposes
38 and is in addition to the school district's tax rate that will
39 be levied to fund the school district's revenue control limit
40 allowed by law.

41 ~~CC.~~ DD. If the election is to continue to exceed the revenue
42 control limit as provided in section 15-482 and if the proposed override
43 will be fully funded by a continuation of a levy of taxes on the taxable
44 property in the school district, the ballot shall contain the words
45 "budget override continuation, yes" and "budget override continuation,
46 no", and the voter shall signify the voter's desired choice. The ballot
47 shall also contain the amount of the proposed continuation of the budget

1 increase of the proposed budget over the alternate budget, a statement
2 that the amount of the proposed increase will be based on a percentage of
3 the school district's revenue control limit in future years, if
4 applicable, as provided in subsection ~~P~~ Q of this section and the
5 following statement:

6 Any budget increase continuation authorized by this
7 election shall be entirely funded by a levy of taxes on the
8 taxable property in this school district for the year for which
9 adopted and for _____ subsequent years, shall not be realized
10 from monies furnished by the state and shall not be subject to
11 the limitation on taxes specified in article IX, section 18,
12 Constitution of Arizona. Based on the current net assessed
13 valuation used for secondary property tax purposes, to fund the
14 proposed continuation of the increase in the school district's
15 budget would require an estimated continuation of a tax rate of
16 \$_____ per \$100 of net assessed valuation used for
17 secondary property tax purposes and is in addition to the
18 school district's tax rate that will be levied to fund the
19 school district's revenue control limit allowed by law.

20 Sec. 4. Section 15-491, Arizona Revised Statutes, is amended to
21 read:

22 15-491. Elections on school property; exceptions

23 A. The governing board of a school district may, and on petition of
24 fifteen percent of the school electors as shown by the poll list at the
25 last preceding annual school election shall, call an election for the
26 following purposes:

27 1. To locate or change the location of school buildings.

28 2. To purchase or sell school sites or buildings or sell school
29 sites pursuant to section 15-342 or to build school buildings, but the
30 authorization by vote of the school district shall not necessarily specify
31 the site to be purchased.

32 3. To decide whether the bonds of the school district shall be
33 issued and sold for the purpose of raising monies for purchasing or
34 leasing school lots, for building or renovating school buildings, for
35 supplying school buildings with furniture, equipment and technology, for
36 improving school grounds, for purchasing pupil transportation vehicles or
37 for liquidating any indebtedness already incurred for such purposes.
38 Bonds issued for furniture, equipment and technology, other than fixtures,
39 shall mature not later than the July 1 that follows the fifth year after
40 the bonds were issued. A school district shall not issue class B bonds
41 until the school district has obligated in contract the entire proceeds of
42 any class A bonds issued by the school district. The total amount of
43 class A and class B bonds issued by a school district shall not exceed the
44 debt limitations prescribed in article IX, sections 8 and 8.1,
45 Constitution of Arizona.

46 4. To lease for twenty or more years, as lessor or as lessee,
47 school buildings or grounds. Approval by a majority of the school

1 district electors voting authorizes the governing board to negotiate for
2 and enter into a lease. The ballot shall list the school buildings or
3 grounds for which a lease is sought. If the governing board does not
4 enter into a lease of twenty or more years of the school buildings or
5 grounds listed on the ballot within twenty years after the date of the
6 election and the board continues to seek such a lease, the governing board
7 shall call a special election to reauthorize the board to negotiate for
8 and to enter into a lease of twenty or more years.

9 5. To change the list of capital projects or the purposes
10 authorized by prior voter approval to issue bonds.

11 6. To extend from six to ten years the time period to issue class B
12 bonds authorized in 2009 or earlier. Elections pursuant to this paragraph
13 may not be held later than the sixth November after the election approving
14 the issuance of the bonds.

15 B. A petition is not required for holding the first election to be
16 held in a joint common school district for any of the purposes specified
17 in subsection A of this section. The certification of election results
18 required by section 15-493 shall be made to the board of supervisors of
19 the jurisdictional county.

20 C. When the election is called to determine whether or not bonds
21 of the school district shall be issued and sold for the purposes
22 enumerated in the call for the election, the question shall be submitted
23 to the vote of the qualified electors of the school district as defined in
24 section 15-401 and subject to section 15-402.

25 D. The governing board shall order the election to be held and the
26 election notice and procedures to be conducted in the manner prescribed in
27 title 35, chapter 3, article 3. If a petition for an election has been
28 filed with the governing board as provided in subsection A of this
29 section, the board shall act on the petition within sixty days by ordering
30 the election to be held as provided in this subsection. If a school
31 district bond election is scheduled for the same date a school district
32 will hold an override election, the governing body shall deliver a copy of
33 the notice of election and ballot to the county school superintendent who
34 shall include the notice of election and ballot with the informational
35 pamphlet and ballot prepared for the override election. Mailing of the
36 information required for both the override and bond elections shall
37 constitute compliance with the notice provisions of this section.

38 E. The elections to be held pursuant to this section shall only be
39 held on dates prescribed by section 16-204, except that elections held
40 pursuant to this section to decide whether class B bonds shall be issued,
41 or any other obligation incurred that will require the assessment of
42 secondary property taxes, shall only be held on the first Tuesday after
43 the first Monday of November.

44 F. Subsection A, paragraph 2 of this section does not apply to the
45 sale of school property if the market value of the school property is less
46 than \$50,000.

1 G. Bond counsel fees, financial advisory fees, printing costs and
2 paying agent and registrar fees for bonds issued pursuant to an election
3 under this section shall be paid from either the amount authorized by the
4 qualified electors of the school district or current operating funds.
5 Bond election expenses shall be paid from current operating funds only.

6 H. For any election conducted to decide whether class B bonds will
7 be issued pursuant to this section:

8 1. Except as provided in paragraph 2 of this subsection, the ballot
9 shall include the following statement:

10 The capital improvements that are proposed to be funded
11 through this bond issuance are to exceed the state standards
12 and are in addition to monies provided by the state.

13 _____ school district is proposing to issue class B
14 general obligation bonds totaling \$_____ to fund capital
15 improvements over and above those funded by the state. Under
16 the students first capital funding system, _____ school
17 district is entitled to state monies for new construction and
18 renovation of school buildings in accordance with state law.

19 2. For a school district that is a career technical education
20 district, the ballot shall include the following statement:

21 _____, a career technical education district, is
22 proposing to issue class B general obligation bonds totaling
23 \$_____ to fund capital improvements at a campus owned or
24 operated and maintained by the career technical education
25 district.

26 3. The ballot shall conform to the requirements of title 35,
27 chapter 3, article 3.

28 4. At least eighty-five days before the election, the school
29 district shall submit proposed ballot language to the county school
30 superintendent and the director of the Arizona legislative council. The
31 director of the Arizona legislative council shall review the proposed
32 ballot language to determine whether the proposed ballot language complies
33 with this section. If the director of the Arizona legislative council
34 determines that the proposed ballot language does not comply with this
35 section, the director, within ten calendar days after receiving the
36 proposed ballot language, shall notify the school district and the county
37 school superintendent of the director's objections, and the school
38 district shall resubmit revised ballot language to the director for
39 approval.

40 5. Not later than thirty-five days before a class B bond election
41 conducted pursuant to this section, the school district shall mail an
42 informational pamphlet prepared by the county school superintendent to
43 each household that contains a qualified elector in the school district.
44 The informational pamphlet shall contain, at a minimum, the following
45 information:

46 (a) An executive summary of the school district's most recent
47 capital plan submitted to the school facilities oversight board.

1 (b) A complete list of each proposed capital improvement that will
2 be funded with the proceeds of the bonds and a description of the proposed
3 cost of each improvement, including a separate aggregation of capital
4 improvements for administrative purposes as defined by the school
5 facilities oversight board.

6 (c) The tax rate associated with each of the proposed capital
7 improvements and the estimated cost of each capital improvement for the
8 owner of a single family home that is valued at \$100,000.

9 I. For any election conducted to decide whether impact aid revenue
10 bonds shall be issued pursuant to this section:

11 1. The ballot shall include the following statement:

12 The capital improvements that are proposed to be funded
13 through this bond issuance are to exceed the state standards
14 and are in addition to monies provided by the state.

15 _____ school district is proposing to issue impact
16 aid revenue bonds totaling \$_____ to fund capital
17 improvements over and above those funded by the state. Under
18 the students first capital funding system, _____ school
19 district is entitled to state monies for new construction and
20 renovation of school buildings in accordance with state law.

21 2. The ballot shall contain the words "bond approval, yes" and
22 "bond approval, no", and the voter shall signify the voter's desired
23 choice.

24 3. At least eighty-five days before the election, the school
25 district shall submit proposed ballot language to the director of the
26 legislative council. The director of the legislative council shall review
27 the proposed ballot language to determine whether the proposed ballot
28 language complies with this section. If the director of the legislative
29 council determines that the proposed ballot language does not comply with
30 this section, the director, within ten calendar days after receiving the
31 proposed ballot language, shall notify the school district of the
32 director's objections, and the school district shall resubmit revised
33 ballot language to the director for approval.

34 4. Not later than thirty-five days before an impact aid revenue
35 bond election conducted pursuant to this section, the school district
36 shall mail an informational pamphlet prepared by the county school
37 superintendent to each household that contains a qualified elector in the
38 school district. The informational pamphlet shall contain, at a minimum,
39 the following information:

40 (a) The date of the election.

41 (b) The voter's polling place and the times it is open.

42 (c) An executive summary of the school district's most recent
43 capital plan submitted to the school facilities oversight board.

44 (d) A complete list of each proposed capital improvement that will
45 be funded with the proceeds of the bonds and a description of the proposed
46 cost of each improvement, including a separate aggregation of capital

1 improvements for administrative purposes as defined by the school
2 facilities oversight board.

3 (e) A statement that impact aid revenue bonds will be fully funded
4 by aid that the school district receives from the federal government and
5 do not require a levy of taxes in the district.

6 (f) A statement that if the bonds are approved, the first priority
7 for the impact aid will be to pay the debt service for the bonds and that
8 other uses of the monies are prohibited until the debt service obligation
9 is met.

10 (g) A statement that if the impact aid revenue bonds are approved,
11 the school district shall not issue or sell class B bonds while the
12 district has existing indebtedness from impact aid revenue bonds, except
13 for bonds issued to refund any bonds issued by the board.

14 J. If the voters approve the issuance of school district class B
15 bonds or impact aid revenue bonds, the school district shall not use the
16 bond proceeds for any purposes other than the proposed capital
17 improvements listed in the informational pamphlet, except that up to ten
18 percent of the bond proceeds may be used for general capital expenses,
19 including cost overruns of proposed capital improvements. The proposed
20 capital improvements may be changed by a subsequent election as provided
21 by this section.

22 K. Each school district that issues bonds under this section shall
23 hold a public meeting each year between September 1 and October 31, until
24 the bond proceeds are spent, at which an update of the progress of capital
25 improvements financed through bonding is discussed and at which the public
26 is allowed an opportunity to comment. At a minimum, the update shall
27 include a comparison of the current status and the original projections on
28 the construction of capital improvements, the costs of capital
29 improvements and the costs of capital improvements in progress or
30 completed since the prior meeting and the future capital bonding plans of
31 the school district. The school district shall include in the public
32 meeting a discussion of the school district's use of state capital aid and
33 voter-approved capital overrides in funding capital improvements, if any.

34 L. IF A SCHOOL DISTRICT FAILS TO CORRECT A DEFICIENCY WITHIN
35 ~~NINETY DAYS~~ [EIGHTEEN MONTHS] AFTER RECEIVING NOTICE FROM THE AUDITOR
36 GENERAL PURSUANT TO SECTION 15-271, THE SCHOOL DISTRICT GOVERNING BOARD
37 MAY NOT CALL AN ELECTION FOR THE PURPOSES SPECIFIED IN SUBSECTION A,
38 PARAGRAPH 3 OR 5 OF THIS SECTION UNTIL THE SCHOOL DISTRICT HAS CORRECTED
39 ANY DEFICIENCIES. FOR THE PURPOSES OF THIS SUBSECTION, THE SCHOOL
40 DISTRICT IS DEEMED TO HAVE CORRECTED ANY DEFICIENCIES FROM AND AFTER THE
41 DATE THAT THE AUDITOR GENERAL REPORTS THAT THE SCHOOL DISTRICT IS IN
42 COMPLIANCE WITH THE UNIFORM SYSTEM OF FINANCIAL RECORDS.

43 ~~L.~~ M. If an election is held to change the purpose or list of
44 capital projects authorized by prior voter approval to issue bonds
45 pursuant to subsection A, paragraph 5 of this section, the following
46 requirements apply:

1 1. The election may be held only on the first Tuesday after the
2 first Monday in November.

3 2. Not later than thirty-five days before the election, the school
4 district shall mail an informational pamphlet prepared by the county
5 school superintendent to each household in the school district that
6 contains a qualified elector. The informational pamphlet shall contain,
7 at a minimum, the following information:

8 (a) The date of the election.

9 (b) The voter's polling place and the times it is open.

10 (c) A statement as to why the election was called.

11 (d) A complete list of each proposed capital improvement that is in
12 addition to the initial capital improvements presented in the
13 informational pamphlet when the bonds were approved and the proposed cost
14 of each improvement, including a separate aggregation of capital
15 improvements for administrative purposes as defined by the school
16 facilities oversight board.

17 (e) A complete list of each capital improvement that was presented
18 in the informational pamphlet when the bonds were initially approved and
19 that is proposed to be eliminated or to have its cost reduced, and the
20 proposed cost of each improvement, including a separate aggregation of
21 capital improvements for administrative purposes as defined by the school
22 facilities oversight board.

23 (f) Arguments for and against the proposed change, if submitted, as
24 provided by section 15-481, subsection B, paragraph 9. The ballot
25 arguments for the proposed change shall be signed as the governing board
26 of the school district without listing any member's individual name for
27 the arguments for the proposed change.

28 3. The ballot shall contain the words "change capital improvements,
29 yes" and "change capital improvements, no", and the voter shall signify
30 the voter's desired choice.

31 4. If the election is to add a purpose that was not on the initial
32 ballot, the ballot shall list the purpose that is proposed to be added.

33 ~~M.~~ N. If an election is held to extend the time to issue bonds
34 pursuant to subsection A, paragraph 6 of this section, the following
35 requirements apply:

36 1. The election may be held only on the first Tuesday after the
37 first Monday in November.

38 2. Not later than thirty-five days before the election, the school
39 district shall mail an informational pamphlet prepared by the county
40 school superintendent to each household in the school district that
41 contains a qualified elector. The informational pamphlet shall contain,
42 at a minimum, the following information:

43 (a) The date of the election.

44 (b) The voter's polling place and the times it is open.

45 (c) A statement as to why the election was called.

46 (d) Arguments for and against the proposed change, if submitted, as
47 provided in section 15-481, subsection B, paragraph 9. The ballot

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1 arguments for the proposed change shall be signed as the governing board
2 of the school district without listing any member's individual name for
3 the arguments for the proposed change.

4 3. The ballot shall contain the words "extend time to issue bonds,
5 yes" and "extend time to issue bonds, no", and the voter shall signify the
6 voter's desired choice.

7 Enroll and engross to conform

8 Amend title to conform

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